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Tariff Cuts, Uneven Gains

Income after tariff reforms in eight countries.
Mixed evidence, economic liberty and lessons for Nepal.

RESEARCH QUESTION

After tariff-cutting episodes in India, China, Mauritius, Thailand, the Philippines, Pakistan, Côte d'Ivoire and Senegal during 1991–1998, did real GNI per person grow faster over the next ten years than before reform and than other countries—and what does this suggest for Nepal?

Suwarna Pyakurel · Descriptive, reproducible policy research

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Why tariffs—and how this study was built

Tariffs fund government and protect some producers, but can raise household prices and business costs. I chose this topic to connect a measurable policy change with income and freedom to trade.

FRASER EFW

Raw mean tariff (%) for policy screening; chain-linked Area 4 (0–10) for broader institutional context.

UNDP HDR25

Real GNI per person, 2021 PPP dollars; supplied income histories cover 1990–2023.

Inspect data → document reforms → compare income → test sensitivity → one Nepal proposal

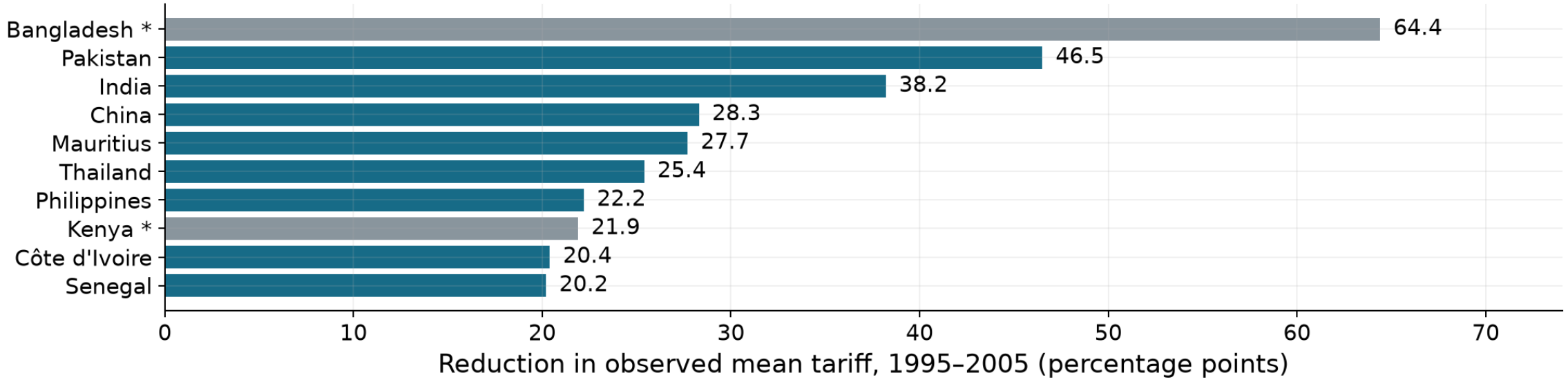
AI assistance: OpenAI Codex helped with coding, resolving errors and researching supporting articles, as well as figures, checks and drafting. Suwarna Pyakurel remains responsible for reviewing and explaining the work. Full disclosure: Appendix A4.

Descriptive comparisons—not an estimate of what tariff cuts caused.

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Ten countries passed the same tariff screen

Figure 1. All ten countries meet the same tariff-reduction rule



Fraser EFW Ratings, raw mean tariff, 1995 and 2005; n=10 of 98 eligible countries. Bar origin=0.
*Bangladesh/Kenya: no precise main tariff-event date; excluded from eight-case main analysis, retained in timing checks.

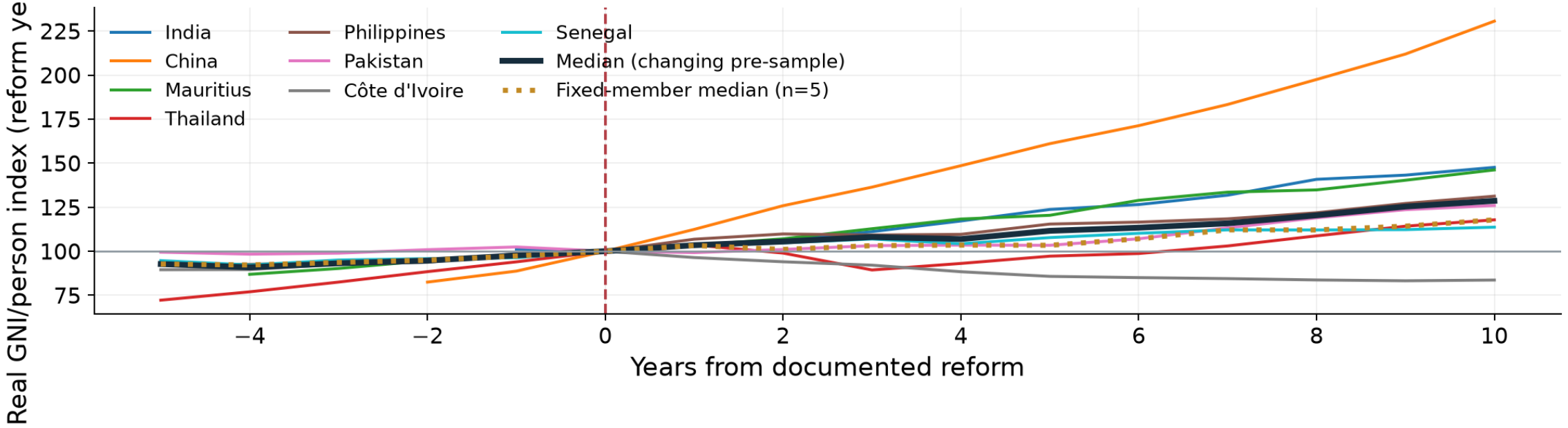
Documented reforms: IND1991 · CHN1992 · MUS1994 · THA/PHL1995 · PAK1997 · CIV/SEN1998

Screen: mean tariff fell ≥20 pp in 1995–2005. Eight dated cases; BGD/KEN timing uncertain.

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Income rose in seven of eight cases

Figure 2. Income rose in seven of eight cases over ten years



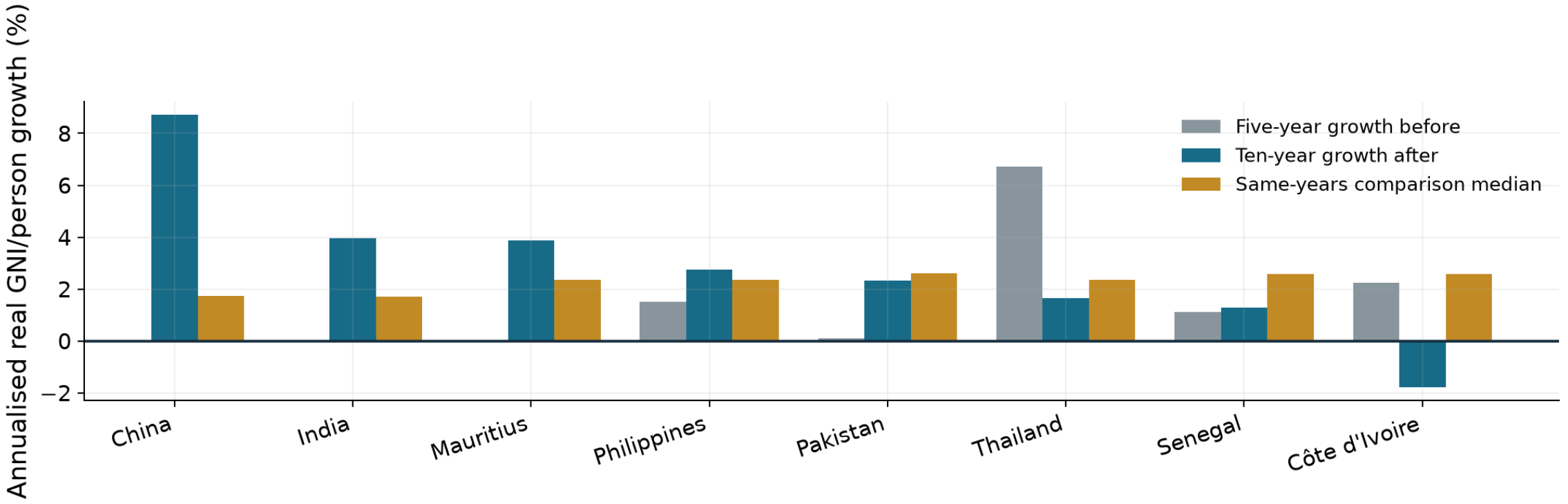
UNDP HDR25; event −5 to +10, observed calendar years 1990–2008; n=8 after reform, 5–8 before.
BGD/KEN: separate timing checks. All series equal 100 at zero by construction; medians do not identify a causal effect.

Reform year = 100 by construction. Dotted median: same five countries; dark median: changing pre-sample.

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Growth accelerated in three of five complete cases

Figure 3. Growth accelerated in three of five complete comparisons

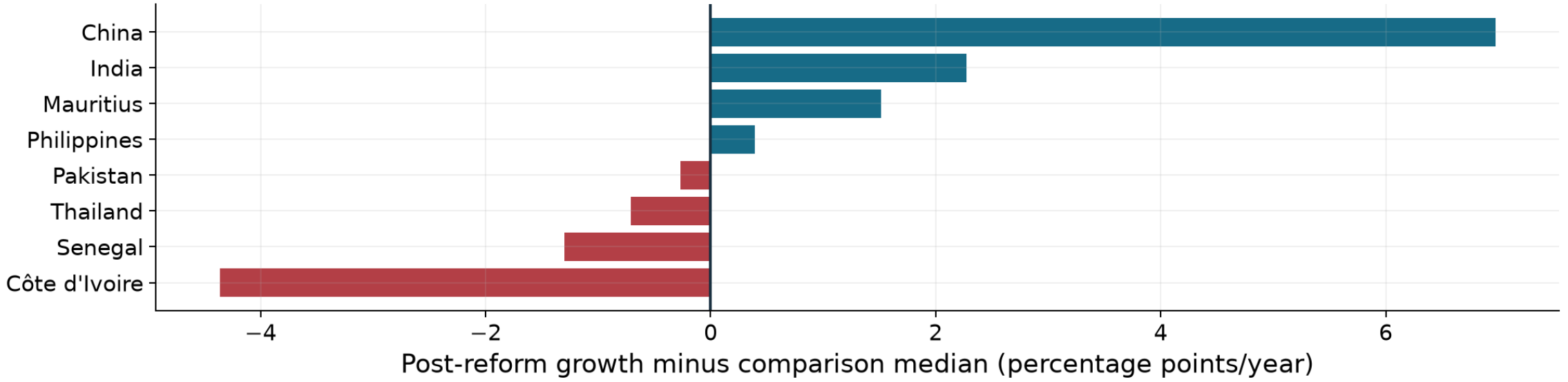


UNDP HDR25; reforms 1991–1998; ten-year endpoints 2001–2008; n=8, complete five-year prehistory n=5.
Missing grey bars=unavailable, not zero. Benchmark n=148–152; all ten screened countries excluded. Bars start at zero.

Benchmark: median growth of other valid countries over the same years; all ten screened cases excluded.

Half outperformed; the median gap was near zero

Figure 4. Half exceeded the benchmark; the median gap was near zero



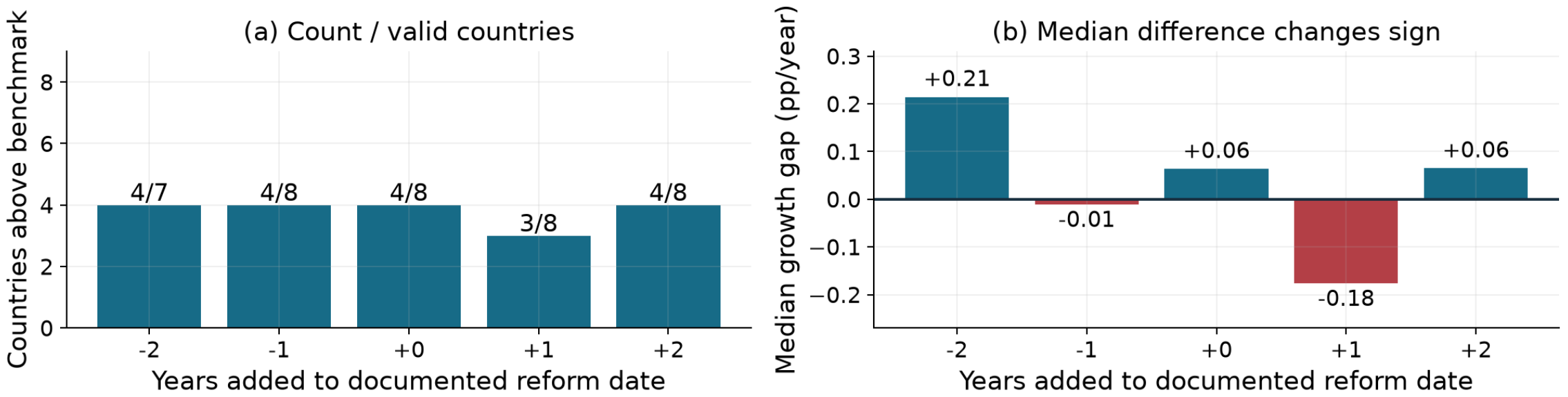
UNDP HDR25; ten-year windows beginning 1991–1998; n=8; median gap +0.06 pp/year. Bars start at zero.
Red=below benchmark, not necessarily falling income. BGD/KEN: timing checks only. CIV/SEN share a regional reform.

Four above, four below. +0.06 pp/year is near zero and sensitive—not a reliable growth premium.

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Timing and composition change the conclusion

Figure 5. Small timing changes reverse the median comparison



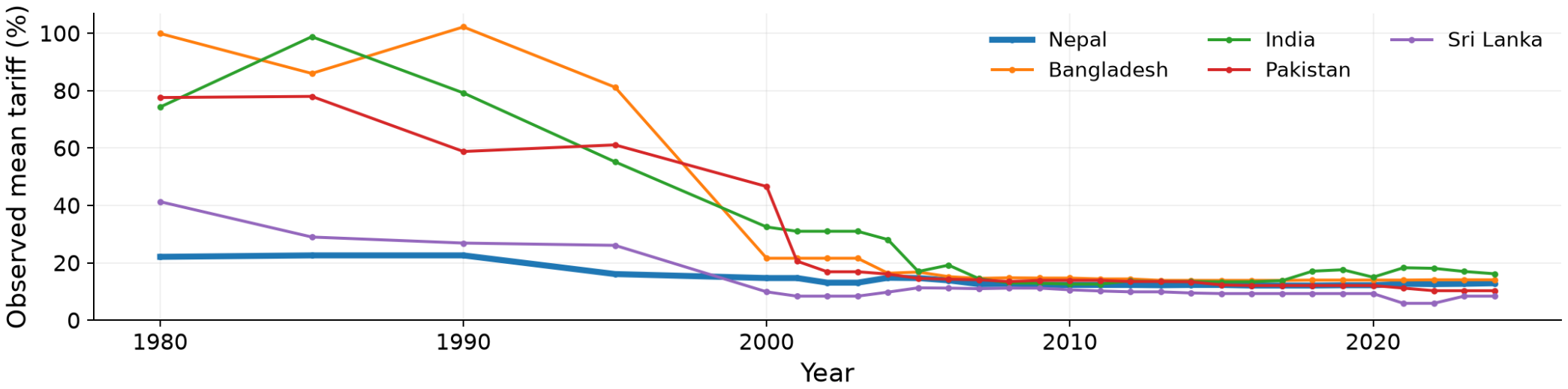
UNDP HDR25; ten-year windows, shifted reform years 1989–2000; n=7–8 valid cases. Bars start at zero.
−2 omits one unavailable income start; counts use valid cases. Complete sensitivity results: outputs/robustness.csv.

Without China: 3/7 above; median −0.27 pp/year. Wider reforms, crises and conflict remain alternatives.

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Nepal starts from a different tariff position

Figure 6. Nepal began from a different tariff position



Fraser EFW Ratings, raw mean tariff, observed 1980–2024; n=5 regional peers; thick line=Nepal; 2024 mean=12.9%.
Historical context only. A mean is not a statutory maximum, a current rate schedule, or a fiscal-impact estimate.

Proposal: cap standard non-preferential ad valorem basic duties in HS25–97 at 20% over three budgets; retain existing lower rates.

Target remaining high duties—not a 20% average. Figure 6 provides context, not an optimal rate.

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Nepal modification: rule, authority and mechanism

RULE AND SCOPE	Amend Schedule 1 of the Customs Tariff Act 2081, as amended. Cap standard non-preferential ad valorem basic duties in HS25–97 at 20%; retain lower rates. Phase in over three budgets.
AUTHORITY AND MECHANISM	Finance Ministry proposes → Parliament enacts → Customs administers. Lower affected duties reduce the import-tax wedge; competition and pass-through determine effects on input costs, prices and choice.
OWN FIGURE EVIDENCE	Figure 1 documents tariff reductions; Figures 2–5 show mixed income outcomes; Figure 6 shows Nepal's different starting point. They inform a targeted policy judgement, but do not establish the 20% cap or predict its benefits.

20% and three budgets are proposed choices. VAT, excise, specific/mixed duties and preferences are outside scope.

Wider choice—with the costs stated openly

THE LIBERTY CASE

People should have wider freedom to exchange under predictable rules. Protection concentrates benefits among selected producers while spreading costs across households and businesses buying imports.

THE STRONGEST OBJECTION

Revenue may fall, putting public-service funding under pressure. Protected firms and workers may face concentrated losses. Phasing changes timing; it does not remove these costs.

Income usually rose; growth advantages were mixed. The Nepal cap is a cautious policy judgement—not a promise of faster growth or self-financing gains.

Thank you.
Let evidence guide policy, and let people choose.

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Chart index and reproducibility

Notebook cells count markdown and code cells from 1. Slide numbers refer to this 14-page PDF.

FIGURE	SLIDE	CELL	WHAT IT SHOWS	EXACT DATA EXPORT
Fig1	**3**	**30**	Tariff-screen reductions	outputs/compact/Fig1_data.csv
Fig2	**4**	**30**	Reform-aligned income index	outputs/compact/Fig2_data.csv
Fig3	**5**	**30**	Before/after/benchmark growth	outputs/compact/Fig3_data.csv
Fig4	**6**	**30**	Growth gap against benchmark	outputs/compact/Fig4_data.csv
Fig5	**7**	**30**	Timing counts and median gaps	outputs/compact/Fig5_data.csv
Fig6	**8**	**30**	Nepal and regional mean tariffs	outputs/compact/Fig6_data.csv

Run: open the named working notebook and Run all. Inputs and reform dates are embedded; missing originals are restored and hashes are checked. Exact charts and CSVs are exported automatically.

Missing data are not zero or interpolated. Full prehistory: 5/8. BGD/KEN: timing uncertain; CIV/SEN: shared reform. Benchmark: same-years median of 148–152 valid other countries, excluding all ten screened cases; not a matched control.

Policy research and reform-date sources

India · implemented July 1991

Union Budget Speech 1991–92 · 1991

Government of India, Ministry of Finance · Accessed 2026-10-16
Budget speech §§107,148; PDF pp.24,31

China · implemented Jan/Dec 1992

Measuring the Costs of Protection in China, chapter 2 (open excerpt) · 1998

Zhang, Wan & Zhang · Institute for International Economics · Accessed 2026-10-16
Chapter 2, printed p.5 / PDF p.3

Mauritius · implemented 1994

Trade Policy Review: Mauritius, Secretariat summary · 1995

World Trade Organization · Accessed 2026-10-16
Secretariat summary: Recent evolution

Thailand · implemented Jan 1995

Trade Policy Review: Thailand, Secretariat summary · 1995

World Trade Organization · Accessed 2026-10-16
Tariff restructuring paragraph; phase-in to 1997

Philippines · effective 28 Aug 1995

Executive Order No. 288, recital concerning EO264 · 1995

President of the Philippines · Lawphil reproduction · Accessed 2026-10-16
EO288 first recital: EO264 effective date

Pakistan · implemented 1997

Evaluation of the Federal Budget 1999–2000, Research Report 23 · 1999

Social Policy and Development Centre · Accessed 2026-10-16
RR23, PDF p.33; year-level dating

Côte d'Ivoire · began March 1998

Côte d'Ivoire: Selected Issues and Statistical Appendix, Country Report 00/107 · 2000

International Monetary Fund · Accessed 2026-10-16
CR00/107, printed p.18, Box 2 / PDF p.19

Senegal · national phase April 1998

Senegal: Statistical Appendix, Country Report 99/5 · 1999

International Monetary Fund · Accessed 2026-10-16
CR99/5, printed p.32, Table 27 / PDF p.33

Bangladesh · no precise main event

Bangladesh balance-of-payments review, BOP/W/160 · 1995

GATT / World Trade Organization · Accessed 2026-10-16
BOP/W/160 §5; timing assumptions tested

Kenya · no precise main event

Enhanced Structural Adjustment Facility Policy Framework Paper 1996–1998 · 1996

Government of Kenya / IMF · Accessed 2026-10-16
PFP1996–98 §6; broad programme ≠ tariff date

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Data, Nepal law and supporting research

Required policy data

Competition-supplied EFW workbook: chain-linked panel and raw Ratings · Coverage 1970–2024; release acceptance pending

Fraser Institute · Accessed 2026-10-16
Chain-linked Area 4 + raw mean tariff; release pending

Required income data

All composite indices and components time series · HDR25; 1990–2023

UNDP Human Development Report Office · Accessed 2026-10-16
HDR25; GNI/person in 2021 PPP$, 1990–2023

Release context only

Economic Freedom of the World 2026, publisher landing page · 2026

Cato Institute / Fraser Institute · Accessed 2026-10-16
2024 coverage does not prove file identity

Variable definitions

EFW 2026: Explanatory Notes and Data Sources · 2026

Fraser Institute / Cato Institute · Accessed 2026-10-16
Area 4 A(ii), printed p.94 / PDF p.8

Nepal statutory-rate context

Integrated Customs Tariff FY2083/84 · 2026/27

Nepal Department of Customs · Accessed 2026-10-16
PDF pp.4–5; p.215 / printed p.203; read footnotes

Nepal legal basis

Customs Tariff Act 2081 · 2024

Nepal Law Commission · Accessed 2026-10-16
Enacted Act first page and Schedule 1

Competing explanation

Trade Policy Review: Thailand · 1999

World Trade Organization · Accessed 2026-10-16
1997 financial crisis; contribution not estimated

Competing explanation

Côte d'Ivoire: Strengthening Public Expenditure Management and Controls, Report27141-IVC · 2003

World Bank · Accessed 2026-10-16
Summary: instability/conflict; not quantified here

Fiscal research: objection

Tax Revenue and (or?) Trade Liberalization · 2005; WP/05/112

Baunsgaard & Keen · IMF Working Paper · Accessed 2026-10-22
WP05/112 abstract and conclusions; not Nepal forecast

Fiscal research: mechanism

Trade Liberalization, Exchange Rate Changes, and Tax Revenue in Sub-Saharan Africa · 2004; WP/04/178

Agbeyegbe et al. · IMF Working Paper · Accessed 2026-10-22
WP04/178 §II.A; response depends on import base

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AI disclosure and research qualifications

TOOL USED: OPENAI CODEX

OpenAI Codex helped with coding, resolving errors, and researching supporting articles. Also assisted with data inspection, figures, checks, documentation and presentation preparation. Suwarna Pyakurel remains responsible for reviewing and explaining the submitted work. Solo entry.

WHAT THE READING ADDS

Baunsgaard & Keen (2005): revenue recovery can be difficult. Agbeyegbe et al. (2004): outcomes depend on import responses and macroeconomic conditions. Neither estimates Nepal's gains or validates 20%.

SOURCE AND LEGAL QUALIFICATIONS

Original sources: accessed 16 October; research papers: 22 October. Automated rechecks on 22 October: 15 HTTP successes, five failures/blocks. Nepal legal evidence is archived as of 16 October; current completeness is unconfirmed.

Laffer intuition does not establish Nepal's revenue peak, an optimal tariff, or that cuts would finance themselves.

Pending: declaration approval, dataset scope/release acceptance, exact deadline and upload limits. No approval, submission or score is claimed.